

ABC Company

Terms, Policies & Legal Framework

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ABC Company — Colombo | London | Melbourne

Table of Contents

- 1. Standard Commercial Terms
- 2. Intellectual Property
- 3. Non-Disclosure Agreement
- 4. Data Protection and Privacy
- 5. Limitation of Liability and Warranties
- 6. Dispute Resolution
- 7. Insurance Coverage
- 8. Contact and Legal Notices

1. Standard Commercial Terms

The following commercial terms govern all engagements between ABC Company and its clients unless otherwise specified in a signed Statement of Work or Master Service Agreement. Where a term in the Statement of Work conflicts with a term in this document, the Statement of Work takes precedence for that specific engagement.

Payment Terms

All invoices issued by ABC Company are due Net-15 — that is, within fifteen business days of the invoice date. Invoices that remain unpaid after the due date accrue a late payment charge of 1.5% per month on the outstanding balance, calculated from the date the invoice became overdue. ABC Company issues invoices promptly upon reaching agreed milestones or at the close of each billing period, and expects clients to raise any invoice queries within five business days of receipt so that disputes do not delay payment of the undisputed portion.

The payment schedule applied to an engagement depends on the engagement type. For fixed-price projects, the standard schedule is: 30% on contract signing, 40% upon the client's written acceptance of the agreed midpoint milestone, and the remaining 30% on final delivery and client acceptance. This structure aligns payment with demonstrable progress and ensures that both parties share an interest in reaching each milestone efficiently. For Time and Materials engagements, invoices are issued monthly based on actual hours worked during the preceding month, accompanied by detailed timesheets showing hours by team member, date, and task category. For dedicated team retainer engagements, invoices are issued on the 1st of each month for the upcoming month, reflecting the reserved team capacity regardless of the specific volume of work delivered in that period.

Accepted payment methods include international wire transfer via SWIFT (the preferred method for international clients), ACH electronic transfer for US-based clients, and major credit and debit cards including Visa, Mastercard, and American Express. Credit card payments are subject to a 3% processing fee to cover payment gateway costs; this fee is waived for ACH and wire transfer payments. Enterprise clients with established procurement processes may arrange alternative billing structures — including quarterly invoicing cycles, purchase order-based payment workflows, or multi-currency billing arrangements — upon written agreement prior to the commencement of the engagement.

Cancellation and Termination

Either party may terminate an engagement by providing 30 days' written notice to the other party. This notice period exists to allow for an orderly handover of work in progress, knowledge transfer, and the return of all project assets. During the notice period, ABC Company will continue to deliver work at the contracted level of effort unless the client requests a reduced scope for the handover phase.

Upon termination, ABC Company will deliver all work completed to the date of termination, transfer all source code, documentation, infrastructure configurations, credentials, and project artefacts to the client, and make reasonable efforts to document the state of any incomplete work to facilitate continuation by another party. All outstanding invoices become due and payable immediately upon termination notice. For fixed-price engagements, payment for work completed prior to termination is calculated on a pro-rata basis proportional to the verified percentage of scope completed, as assessed against the deliverables defined in the Statement of Work. There are no termination penalties beyond outstanding payment obligations; the 30-day notice period is the sole commercial protection required.

Contract Duration and Renewals

Fixed-price project contracts run for the duration defined in the Statement of Work and conclude upon final delivery and client acceptance. Time and Materials contracts have no fixed end date; either party may conclude the engagement with 30 days' written notice as described above. Dedicated team retainer contracts carry a minimum commitment of three months, after which they renew in three-month increments unless either party provides written notice of non-renewal at least 30 days before the end of the current term.

Contract renewals are an opportunity to review the engagement terms, team composition, and rate schedule. ABC Company provides clients with at least 60 days' advance written notice of any proposed rate adjustments, giving clients sufficient time to budget for the change, negotiate if appropriate, or, if necessary, plan an orderly transition. Rate changes are not applied retroactively and take effect only at the start of a new contract term.

Warranty

ABC Company provides a 30-day post-delivery warranty for all fixed-price project engagements. During this warranty period, ABC Company will investigate and resolve any defects in the delivered software — defined as deviations from the specifications set out in the Statement of Work — at no additional cost to the client. The warranty service level targets are: Critical defects (system down, data loss risk) resolved within 4 hours; High defects (major feature broken, significant workflow impaired) within 24 hours; Medium defects (feature partially broken, workaround available) within 48 hours; Low defects (cosmetic, minor usability issues) within 5 business days.

The warranty covers defects that exist in the delivered code at the time of client acceptance. It does not extend to: service disruptions caused by third-party providers (cloud platforms, payment gateways, communication APIs); issues introduced by modifications made by the client or other parties to the delivered codebase; new feature requests that were not part of the original agreed specification; or infrastructure changes made by the client that alter the operating environment in ways not described in the project documentation. For Time and Materials and dedicated team engagements, defect resolution is handled as standard billable work unless the defect is directly attributable to an error introduced by ABC Company within the preceding 30-day period.

2. Intellectual Property

ABC Company's intellectual property policy is built on a single foundational principle: the client owns everything produced in the engagement. This section describes how that principle is implemented in practice, including the treatment of pre-existing components and open-source dependencies.

Work-for-Hire and Full IP Assignment

All work performed by ABC Company under a client engagement — including source code, compiled software, database schemas, API specifications, design files, user interface mockups and prototypes, technical documentation, test suites, CI/CD pipeline configurations, infrastructure-as-code templates, and any other deliverable produced in the course of the engagement — is classified as work-for-hire under applicable copyright law. This means the client is the legal author and owner of all deliverables from the moment of their creation, without any requirement for a separate assignment instrument.

To the extent that any deliverable created under the engagement is not automatically classified as work-for-hire under the laws of the applicable jurisdiction, ABC Company hereby irrevocably assigns to the client all right, title, and interest in and to such deliverables, including all copyright, patent rights (where applicable), trade secret rights, and any other intellectual property rights subsisting therein. This assignment is unconditional, perpetual, worldwide, and does not require any separate consideration beyond the fees paid under the engagement contract.

No Retained Rights

ABC Company retains no rights to client-specific deliverables. Following delivery, ABC Company may not use, reproduce, modify, distribute, sublicense, or create derivative works from any client deliverable without the client's prior written consent. This restriction applies to all team members, employees, and contractors who contributed to the work during the engagement. The sole exception to this restriction is the limited case study right described below, which is strictly limited to high-level public references and does not permit the disclosure of any technical, commercial, or confidential information.

Pre-existing Intellectual Property

ABC Company may incorporate pre-existing intellectual property — including internal utility libraries, project scaffolding templates, DevOps pipeline configurations, and reusable code components — into client deliverables. Such pre-existing components remain ABC Company's property. Before incorporating any pre-existing ABC IP into a client engagement, ABC Company will disclose the component to the client and obtain written acknowledgement. Upon disclosure and acceptance, the client receives a perpetual, irrevocable, royalty-free, worldwide licence to use, modify, and incorporate those pre-existing components within the project and any derivative works, without restriction.

Open-Source Components

Software projects routinely incorporate open-source libraries and frameworks. ABC Company ensures that all open-source components used in a client engagement are compatible with commercial use and do not impose copyleft obligations that would affect the proprietary status of the client's codebase. Specifically, ABC Company will not incorporate GPL-licensed components into a client's proprietary codebase without explicit written consent after a full explanation of the licensing implications. Permissively licensed components (MIT, Apache 2.0, BSD) are used freely. A software bill of materials listing all open-source dependencies and their licences is available to clients upon request.

Case Study Rights

ABC Company may publicly reference completed engagements in marketing materials, website content, conference presentations, and industry submissions. Such references are limited to: the client's name and industry sector, a high-level description of the project scope (for example, 'a mobile banking application for a UK fintech'), and aggregate outcome metrics where approved by the client. No confidential technical architecture details, proprietary business data, user metrics, or financial information will be disclosed without the client's prior written consent. Clients may opt out of any case study reference at any time by providing written notice, and ABC Company will remove or update any existing references within 30 days of receiving such notice.

3. Non-Disclosure Agreement

Confidentiality is a prerequisite for the kind of open, transparent working relationship that ABC Company believes produces the best outcomes. The following terms govern the treatment of confidential information exchanged between ABC Company and its clients.

ABC Company operates under a mutual Non-Disclosure Agreement with all clients before any confidential information is exchanged. The NDA is mutual — it protects both the client's proprietary information and ABC Company's internal processes, pricing structures, and proprietary methodologies. ABC Company maintains a standard NDA template that has been reviewed and approved by legal counsel and is available for signature before initial discovery conversations. Where clients prefer to use their own NDA template, ABC Company will review and, in most cases, sign the client's form without material changes, provided it does not impose obligations that are inconsistent with ABC Company's obligations to other clients or with applicable law.

The confidentiality period under ABC Company's standard NDA extends for 12 months following the conclusion of the engagement. During this period, neither party may disclose the other party's confidential information to any third party without prior written consent, except as required by law, court order, or regulatory authority. The scope of confidential information covered by the NDA includes: all project artefacts (source code, designs, documentation, test data), business information (user data, revenue figures, business strategy documents, pricing information), technical details (system architecture, infrastructure configurations, access credentials), and any other information that is designated as confidential by either party at the time of disclosure or that a reasonable person would understand to be confidential given the nature of the information and the circumstances of its disclosure.

Confidentiality obligations do not apply to information that: (a) is or becomes publicly available through no act or omission of the receiving party; (b) was rightfully known to the receiving party before disclosure; (c) is independently developed by the receiving party without reference to the disclosing party's confidential information; or (d) is received from a third party who is not bound by a confidentiality obligation with respect to that information. ABC Company ensures that all employees and contractors with access to client confidential information are bound by equivalent confidentiality obligations through their employment and contractor agreements, which include provisions that survive the termination of their engagement with ABC Company.

4. Data Protection and Privacy

ABC Company treats data protection as a technical and organisational discipline, not merely a legal compliance exercise. The following policies apply to all client data handled by ABC Company, and are backed by the technical controls and access management practices described in the sections below.

GDPR Compliance

For clients who process personal data of European Union or United Kingdom residents, ABC Company acts as a data processor under the General Data Protection Regulation (GDPR) and the UK GDPR. Prior to processing any EU or UK personal data on behalf of a client, ABC Company executes a Data Processing Agreement (DPA) that formally defines the respective roles, obligations, and safeguards of both parties. The DPA addresses: the lawful basis for processing; the principles of data minimisation and purpose limitation; the requirement to implement appropriate technical and organisational security measures; the procedures for handling data subject rights requests (access, rectification, erasure, restriction, portability, and objection); breach notification obligations (within 72 hours of ABC Company becoming aware of a personal data breach); and the management of sub-processors, including the requirement to impose equivalent obligations on any sub-processors engaged by ABC Company.

HIPAA Compliance

For clients operating in the US healthcare sector who require ABC Company to access, store, or process Protected Health Information (PHI), ABC Company executes a Business Associate Agreement (BAA) establishing its obligations under the Health Insurance Portability and Accountability Act (HIPAA). Under the BAA, ABC Company implements administrative safeguards (workforce training, access management policies, and incident response procedures), physical safeguards (facility access controls and workstation security), and technical safeguards (access controls, audit controls, integrity controls, and transmission security) appropriate to the sensitivity of the PHI involved. Cloud infrastructure for healthcare engagements is deployed exclusively on HIPAA-eligible services within AWS, with encryption at rest and in transit enabled for all environments that handle PHI.

Data Handling Practices

All client data handled by ABC Company — including production data, test data containing real user information, and any data provided for development or staging environments — is treated with the same security controls regardless of whether a formal GDPR or HIPAA agreement is in place. Client data is encrypted at rest using AES-256 and in transit using TLS 1.2 or higher. Access to production environments requires multi-factor authentication (MFA) for all team members. Access is granted strictly on a least-privilege basis: only team members who require access to a specific environment or dataset for their defined role receive that access, and access is revoked immediately upon role change or departure from the engagement. All access to production environments is logged, and access logs are retained for a minimum of 12 months and are available to clients upon request.

Client data is never used by ABC Company for any internal purpose, including training internal models, benchmarking tools, or informing other client engagements. Client data is strictly isolated per engagement — no data from one client engagement is accessible to team members working on a different client engagement. At the conclusion of an engagement, all client data held by ABC Company is returned to the client or securely deleted within 30 days, per the client's written instruction.

Data Residency

By default, client data is hosted in the AWS region selected during the architecture design phase of the engagement. ABC Company's standard regional defaults are: eu-west-1 (Ireland) for clients whose primary user base is in the European Union; us-east-1 (Virginia) for clients whose primary user base is in the United States; and ap-southeast-2 (Sydney) for clients whose primary user base is in the Asia-Pacific region. Where a client has specific data residency requirements — for example, UK-only data residency following Brexit, or in-country residency requirements for regulated data in certain jurisdictions — these requirements are captured in the Statement of Work and enforced through infrastructure configuration, with the specific AWS region or alternative cloud region specified and documented.

Incident Response

In the event of a confirmed or suspected security incident affecting client data, ABC Company will notify the affected client within 24 hours of becoming aware of the incident, or within 72 hours where GDPR-regulated data is involved and the 72-hour regulatory notification obligation applies. The initial notification will include: a description of the nature of the incident, the categories and approximate volume of data affected, the containment measures already taken, and recommended immediate actions for the client. A full incident report, including a root cause analysis, a timeline of events, a complete description of affected data, and a remediation and prevention plan, will be delivered within seven calendar days of the incident's discovery.

5. Limitation of Liability and Warranties

The following terms define the scope of ABC Company's liability and the warranties it provides in connection with its services. These terms reflect a commercially reasonable allocation of risk between the parties and are consistent with standard practice in the professional technology services market.

Limitation of Liability

ABC Company's total aggregate liability to the client under or in connection with any engagement — whether arising in contract, tort (including negligence), breach of statutory duty, or otherwise — is capped at the total fees paid by the client to ABC Company in the three-month period immediately preceding the event giving rise to the claim. This cap represents the parties' mutual assessment of the appropriate allocation of commercial risk given the fees charged and the nature of the services provided.

ABC Company shall not be liable to the client for any indirect, incidental, consequential, special, exemplary, or punitive damages, including but not limited to: loss of profits or revenue; loss of business or contracts; loss of anticipated savings; loss of goodwill or reputation; loss or corruption of data; or business interruption, in each case whether or not ABC Company had been advised of the possibility of such damages. ABC Company is also not liable for delays or failures caused by the client's failure to provide required inputs, feedback, or approvals within agreed timeframes; by outages or failures of third-party services, APIs, or infrastructure components not managed by ABC Company; or by force majeure events including natural disasters, governmental actions, infrastructure-wide failures, or other circumstances beyond ABC Company's reasonable control.

Warranty and Professional Standards

ABC Company warrants that all delivered work will materially conform to the specifications documented in the Statement of Work for a period of 30 days following the client's written acceptance of the delivered work. If the client identifies a defect during this warranty period — defined as a material deviation from the agreed specification — ABC Company will correct the defect at no additional cost to the client, within the SLA timelines described in Section 1. The warranty covers only defects present in the delivered code at the time of acceptance; it does not cover defects introduced by subsequent modifications, environmental changes, or third-party service failures, as described in Section 1.

In addition to the specific warranty on delivered work, ABC Company warrants that all services will be performed in a professional and workmanlike manner, consistent with generally accepted industry standards for software engineering services of the type and scope described in the Statement of Work. All personnel assigned to client engagements are qualified professionals with relevant industry experience and, where certifications are required by the engagement (for example, AWS-certified architects for cloud architecture engagements), hold the specified certifications at the time of their assignment.

6. Dispute Resolution

ABC Company strongly prefers to resolve any disagreement through direct communication and practical problem-solving before engaging formal dispute resolution mechanisms. The escalating framework below ensures that every reasonable avenue for negotiated resolution is pursued before either party incurs the cost and delay of formal proceedings.

Both parties commit to attempting resolution of any dispute arising under the engagement through good-faith direct negotiation before escalating to formal dispute resolution mechanisms. Within 30 days of a dispute arising, representatives of both parties with authority to settle the dispute will meet — in person, by video conference, or by telephone — and make a genuine effort to reach a mutually acceptable resolution. Neither party may commence formal dispute resolution proceedings until this negotiation period has concluded or both parties have agreed in writing that negotiation is unlikely to resolve the dispute.

If negotiation does not produce a resolution within the 30-day period, either party may refer the dispute to mediation. For engagements governed by the laws of Sri Lanka (APAC-based contracts), mediation is administered by the Sri Lanka National Arbitration Centre (SLNAC). For engagements governed by the laws of England and Wales (UK and EU-based contracts), mediation is administered by the Centre for Effective Dispute Resolution (CEDR). The parties will share the costs of mediation equally. If mediation does not produce a resolution within 60 days of the referral, either party may proceed to binding arbitration under the rules of the applicable centre. The decision of the arbitrator is final, binding, and enforceable in any court of competent jurisdiction. Governing law defaults to the laws of Sri Lanka for APAC engagements and the laws of England and Wales for UK and EU engagements; the governing law applicable to a specific engagement may be negotiated and specified in the Statement of Work prior to contract execution.

7. Insurance Coverage

ABC Company maintains comprehensive insurance coverage across all lines of risk relevant to professional technology services engagements. The following table summarises current coverage; full details are available upon request.

Insurance Type	Coverage Limit	Insurer
Professional Indemnity	\$2,000,000 per claim	Major international insurer
Cyber Liability	\$1,000,000 per claim	Major international insurer
General Liability	\$1,000,000 per occurrence	Major international insurer
Workers' Compensation	As required by local law	Local provider (per jurisdiction)

ABC Company maintains the following categories of insurance coverage to protect clients against risks arising from the engagement. Professional Indemnity insurance (also known as Errors and Omissions insurance) covers claims arising from professional errors, negligent acts, or omissions in the delivery of services, including software defects that cause financial loss to the client beyond the scope of the warranty. Cyber Liability insurance covers costs associated with data breaches and cyber incidents, including breach notification costs, credit monitoring for affected individuals, regulatory fines (where insurable), and third-party claims arising from the breach. General Liability insurance covers bodily injury and property damage claims arising from ABC Company's operations, relevant primarily to on-site consulting and office-based activities. Workers' Compensation insurance covers ABC Company's employees and contractors in accordance with the mandatory requirements of each jurisdiction in which they are employed.

Certificates of insurance for all active policies are available to clients upon written request and will be provided within five business days. Clients who require to be named as additional insureds on any policy, or who require evidence of specific coverage limits different from those listed above, should raise this requirement during contract negotiation. ABC Company will make reasonable efforts to accommodate such requests, subject to insurer approval and any resulting premium adjustments being agreed between the parties.

8. Contact and Legal Notices

All formal legal notices, including notices of termination, notices of dispute, data subject rights requests, and notices under the NDA, must be submitted in writing. Email is an acceptable form of written notice and is deemed received upon confirmed delivery to the designated address. Postal notices are deemed received three business days after dispatch by recorded delivery.

Legal Notices	legal@abccompany.io
Data Protection Enquiries	dpo@abccompany.io
Postal Address	ABC Company (Pvt) Ltd, 42 Galle Road, Colombo 03, Sri Lanka

For data protection enquiries — including requests to exercise data subject rights under GDPR, queries about data processing activities, or requests to inspect or update a Data Processing Agreement — please contact ABC Company's designated Data Protection Officer at the email address listed above. The Data Protection Officer will acknowledge all enquiries within 72 hours and provide a substantive response within 30 days, consistent with the timelines required by applicable data protection law.

For general commercial and contractual queries that do not require formal written notice, existing clients should contact their named account manager directly. New and prospective clients may reach the business development team at hello@abccompany.io or via the company's website at www.abccompany.io. ABC Company aims to respond to all initial enquiries within one business day.

Document Validity

This document represents ABC Company's standard terms, policies, and legal framework as of the date shown on the cover page. In the event of any conflict between this document and a signed Master Service Agreement or Statement of Work, the signed agreement takes precedence for the specific engagement it governs. This document is reviewed and updated annually. The current version is always available from your account manager upon request.